

Auditor's Duty

The auditor while verifying loan in general has the following duties:

1. **Verify Loan Agreement:** The auditor should verify the loan agreement and refer to the correspondences for getting the loan.
2. **Enquire Purpose of Loan:** He should enquire the purpose or purposes for which loan has been raised and also confirm that the loan raised are being utilized for the specific purpose for which it is being obtained.
3. **Examine Borrowing Powers:** He should examine the borrowing powers of the company by referring to the Memorandum and Articles of Association of the company.
4. **Disclosure in Balance Sheet:** He should verify that secured loans are shown separately from unsecured loans and any interest due but not paid is treated as a current liability in the Balance Sheet.
5. **Obtain Confirmation Letter:** He should obtain confirmation letter from the parties who have advanced loans and should verify the balances with the books.

6.5 Verification of Current Liabilities



Current liabilities are those liabilities which are payable within one year. This includes bank overdraft, sundry creditors, bills payable and outstanding expenses.

6.5.1 Sundry Creditors

MEANING

A person who gives a benefit without receiving money or money's worth immediately but to claim in future is a creditor. The creditors are shown as a current liability in the Balance Sheet.

AUDITOR'S DUTY

1. **Verify Books of Prime Entry:**

   The postings in purchase ledger are to be checked by verifying the books of prime entry. The postings may be checked for part of a year.
2. **Verify Statement of Accounts:**

   The balances shown in credit of suppliers account are to be verified with the statement of accounts obtained from the creditors.
3. **Verify Credit Entries:**

   The credit entries relating to discounts, returns, rebates etc. made in the suppliers account are to be verified

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